SECTION 1 – Azure

All journal entries are presented in £'000

Question 1 - Held for sale assets (13 marks)

Classification as held for sale

The assets in Azure's accessories manufacturing division meet the definition of assets held for sale with effect from 1 March 20X3 when the assets became available for immediate sale and the assets were advertised for sale at their current fair value.

(1 mark)

Measurement prior to reclassification

Immediately prior to classification as held for sale, the assets need to be measured in accordance with relevant IFRS Accounting Standards, which in this case is IAS 16 Property, Plant and Equipment.

(1 mark)

The building is measured at fair value and should therefore be remeasured to its fair value at 28 February 20X3.

(1 mark)

	£'000
Carrying amount at 28 February 20X3	3,318
Valuation at 28 February 20X3	3,500
Revaluation surplus	182

(1 mark)

JE 1	Dr	PPE	182	
	Cr	OCI - revaluation surplus		182
		Being revaluation of building at 28 February 20X3		

(1 mark)

Initial classification as held for sale

On 1 March 20X3, the assets in the disposal group are classed as held for sale assets and are measured at the lower of their carrying amounts and their fair value less costs to sell.

(1 mark)

	Buildings	*Plant and machinery*	*Total*
	£'000	*£'000*	*£'000*
Carrying amount at 28 February	3,500	1,320	4,820
Fair value less costs to sell (£3,500k × 99%)	3,465	1,300	4,765
Impairment	(35)	(20)	(55)

Buildings FVLCTS (1 mark)
Impairment of buildings (1 mark)
Impairment of plant and machinery (1 mark)

Any impairment loss on reclassification to held for sale is charged to profit or loss, and presented within the discontinued operations category as Azure is a major line of business.

(1 mark)

JE 2	Dr	SPL – impairment loss (discontinued)	55	
	Dr	Held for sale assets	4,765	
		Cr PPE		4,820
	Being impairment on classification of assets as HFS			

(1 mark)

Assets which are classified as held for sale are not depreciated. The automatic depreciation charged by the system would need to be reversed, which will happen automatically after the adjustment is posted.

(1 mark)

Subsequent remeasurement at the reporting date

As the assets have not been disposed by the year end, they should again be remeasured to the lower of their carrying amount and fair value less costs to sell. As there has been no change in the fair values at year end, no further accounting entry is required.

(1 mark)

Total: 13 marks

Question 2 - Lease contract (12 marks)

a) Analysis of lease contract

The contract meets the definition of a lease as it conveys the right to control the use of an identified asset for a period in exchange for consideration.

(1 mark)

Azure has the right to control the manufacturing equipment as it:

- Obtains substantially all economic benefits from the use of the asset as it has the exclusive right to use of the asset for the specified hours.

(1 mark)

- The usage limit of 10,000 hours specified in the conditions of the lease does not limit the benefits that can be obtained as the economic benefits are assessed within the parameters set out in the contract.

(1 mark)

- Can direct the use of the asset - Azure is free to use the asset as required and the asset will be operated by Azure's employees.

(1 mark)

- The fact that employees need to be trained before operating the machinery is not relevant in determining whether the contract contains a lease.

(1 mark)

There is an identified asset as the equipment is specified in the contract and the provider, New Tech, does not have a substantive right to substitute the asset during the contract.

(1 mark)

The temporary replacement in the event of the equipment requiring repair does not constitute a substantive substitution right.

(1 mark)

b) Accounting for right of use asset

Azure should recognise a right of use asset in respect of the manufacturing equipment from 1 November 20X2.

(1 mark)

The right of use asset is initially measured as the present value of the future lease payments plus the £20,000 initial arrangement fee paid before commencement of the lease.

Initially measurement of ROU asset = £132k (£112k + £20k).

(1 mark)

Recognising the initial arrangement fee as a general and administrative expense and recognising a contract asset are both incorrect and need to be corrected.

(1 mark)

JE 3	Dr	Right of use asset	132	
		Cr Contract asset		112
		Cr SPL – general and administrative expenses		20
	Being correct recognition of right of use asset			

(1 mark)

As it is highly likely that Azure will retain ownership of the asset at the end of the three-year lease term, the right of use asset is depreciated over the useful life of five years and not the lease term of three years. The automatic depreciation charge should be based on a useful life of five years.

(1 mark)

Total: 12 marks

Question 3 - Share based payments (9 marks)

The share options issued to senior management are an example of an equity-settled share-based payment and it must be recognised over the vesting period, which in this case is three years.

(1 mark)

Equity-settled share-based payments with employees are measured at the fair value of the instruments granted at the grant date, which is the £8 fair value of the share options on 1 July 20X1.

(1 mark)

The number of equity instruments expected to vest is updated at each reporting date for new information about senior management who have left and who are expected to leave.

(1 mark)

The equity balance relating to the share options of £774,000 recognised at 30 June 20X2 should be adjusted to take account of the increase required at 30 June 20X3.

(1 mark)

	£'000	
At 30 June 20X3 (40 - 3 - 5) x 10,000 options x £8 x 2/3	1,707	**Adjusted employees (1 mark)** **Options / FV at grant date (1 mark)** **Vesting period adjustment (1 mark)**
At 30 June 20X2	774	
Increase required	933	**Increase required (1 mark)**

JE 4	Dr	SPL - other operating expenses	933	
	Cr	Retained earnings		933
		Being adjustment for share-based payment		

(1 mark)

Total: 9 marks

Question 4 - SPL (7 marks)

Azure plc
Statement of profit or loss for the year ended 30 June 20X3

	Draft	*Discontinued*	*JE 2*	*JE 3*	*JE 4*	*Final*
	£'000	*£'000*	*£'000*			*£'000*
Revenue	25,180	(4,330)				20,850
Cost of sales	(10,023)	1,700				(8,323)
Gross profit	15,157					12,527
General and administrative expenses	(4,578)	290		20		(4,268)
Other operating expenses	(2,354)	980			(933)	(2,307)
Operating profit	8,225					5,952
Interest income	35					35
Profit before financing and income taxes	8,260					5,987
Interest expenses on borrowings and lease liabilities	(849)					(849)
Profit before income taxes	7,411					5,138
Income tax expense	(1,640)	210				(1,430)
Profit from continuing operations						3,708
Profit from discontinued operations		1,150	(55)			1,095
PROFIT	5,771					4,803

Processing discontinued operations (1 mark)
New subtotal (profit from continuing operations) (1 mark)
New line (profit from discontinued operations) (1 mark)
Processing journals (2 marks)
IFRS 18 subtotal calculations (1 mark)
Row totalling (1 mark)

Total: 7 marks

SECTION 2 – Lamlash

All journal entries are presented in £'000

Question 5 - Increased investment in Brodick (4 marks)

IFRS 10 states that an investor has control over an investee when it is exposed or has rights to variable returns resulting from its involvement in an investee and has the ability to direct those returns through its power over the investee which Lamlash does as follows:

Power

As the conditions of purchase state that Lamlash can appoint 3 of the 5 board members so Lamlash has power over the Brodick.

(1 mark)

Exposed to variable returns

As an ordinary shareholder, Lamlash is entitled to dividends and participation in the retained profits of Brodick but these are both variable.

(1 mark)

Use of power to influence returns

Because Lamlash can appoint 3 of the 5 board members and therefore has the majority of board members they can influence the operating and strategic decisions taken to influence returns.

(1 mark)

Lamlash has control over Brodick from 1 July 20X3. Brodick is a subsidiary from that date and will be included in the consolidated financial statements.

(1 mark)

Total: 4 marks

Question 6 - Goodwill (13 marks)

a) Measurement of goodwill

Goodwill is measured as the excess of the consideration transferred, non-controlling interests acquired and the fair value of any previously held interest in the subsidiary over the fair value of identifiable net assets at the date of acquisition (IFRS 3, para 32).

(1 mark)

Consideration transferred

The consideration comprises cash and shares in Lamlash, which will be measured at their fair value of £8.62 per share on 30 June 20X3.

(1 mark)

The legal fees of £50,000 do not form a part of the consideration. They should be recognised in profit or loss as they are incurred.

(1 mark)

Non-controlling interests acquired

Lamlash measures non-controlling interest at its proportionate share (52.5%) of the net assets of Brodick at the date of acquisition.

(1 mark)

Fair value of existing shareholding

At 30 June 20X3, the existing 150,000 share investment would be measured at its fair value per share of £6.21.

(1 mark)

Fair value of identifiable net assets acquired

Identifiable assets and liabilities will include the contingent liability that is not recognised in the separate financial statements of Brodick but is recognised on acquisition as there is a present obligation that arises from past events.

(1 mark)

The carrying amount of net assets is adjusted for increase in the fair value of the property of £0.4m (£1.2m - £0.8m).

(1 mark)

b) Calculation of goodwill

	£'000	*£'000*	
Cash consideration		2,048	
Share consideration (10k shares × £8.62)		86	
Fair value of existing holding (150k shares x £6.21)		932	**(1 mark)**
		3,066	
Non-controlling interest (52.5% x £3,810k)		2,000	**(1 mark)**
Less: fair value of net assets acquired			
Share capital	1,000		
Retained earnings (see working)	2,760		
Property fair value adjustment (£1.2m - £0.8m)	400		**(1 mark)**
Contingent liability	(350)		**(1 mark)**
		(3,810)	
Goodwill		1,256	**(1 mark)**

Working:

	£'000	
Retained earnings at 31 December 20X2	2,435	
Profit for the 6 months to 30 June 20X3 (£650k × 6/12)	325	
Retained earnings at acquisition	2,760	
		(1 mark)

Total: 13 marks

Question 7 - Consolidation journal entries (18 marks)

Step 2 – recognise goodwill and NCI at the date of acquisition

Goodwill calculation is in Question 6 above

JE 1	Dr	Goodwill	1,256	
	Dr	PPE	400	
	Dr	Share capital	1,000	
	Dr	Retained earnings	2,760	
		Cr Contingent liability		350
		Cr Investment		3,066
		Cr SOFP (NCI)		2,000
	Being recognition of goodwill and non-controlling interest			

(2 marks)

Step 3 – recognise any impairment of goodwill

JE 2	Dr	SPL - impairment loss	500	
		Cr Goodwill		500
	Being impairment of goodwill			

(1 mark)

Step 4 – allocate NCI share of any historical profits or losses

N/A – subsidiary was acquired in the current year

Step 5 – allocate NCI share of any current year profits or losses

NCI in profit for the year £170,625 (£650k × 6/12 × 52.5%)

(1 mark)

JE 3	Dr	SPL – NCI	171	
		Cr SOFP (NCI)		171
	Being NCI share of subsidiary profit			

(1 mark)

Step 6 – internal trading

JE 4	Dr	SPL – revenue	800	
		Cr SPL – cost of sales		800
	Being removal of intracompany sales			

(1 mark)

Unrealised profit: (£400k × 25/125) = £80k

(1 mark)

JE 5	Dr	SPL – cost of sales	80	
		Cr Inventories		80
	Being elimination of unrealised profit			

(1 mark)

NCI share of unrealised profit = 80k × 52.5% = £42k

(1 mark)

JE 6	Dr	SOFP (NCI)	42	
	Cr	SPL – NCI		42
	Being NCI share of unrealised profit			

(1 mark)

Step 6 – subsequent FV adjustments

Additional depreciation on fair value of property

	£'000	
Depreciation on original cost (£1m/50 years)	20	
Depreciation on FV (£1.2m/42 years)	29	
Difference	9	**(1 mark)**
Pro rata 6/12m	5	**(1 mark)**

JE 7	Dr	SPL – depreciation expenses	5	
	Cr	PPE		5
	Being additional depreciation on fair value of property			

(1 mark)

NCI share of additional depreciation = £5k × 52.5% = £3k

(1 mark)

JE 8	Dr	SOFP (NCI)	3	
	Cr	SPL – NCI		3
	Being NCI share of additional depreciation			

(1 mark)

Final step - transfer profit or loss adjustments to retained earnings

	£'000	
JE2	500	Dr
JE3	171	Dr
JE5	80	Dr
JE6	(42)	Cr
JE7	5	Dr
JE8	(3)	Cr
	711	Dr

(2 marks)

JE 9	Dr	Retained earnings	711	
	Cr	Profit or loss		711
	Being transfer of profit or loss adjustments to retained earnings			

(1 mark)

Total: 18 marks

Question 8 - Consolidated SOFP extracts (5 marks)

Lamlash plc
Consolidated statement of financial position as at 31 December 20X3 (extracts)

	Lamlash group (excluding Brodick)	*Brodick*	*JE 1*	*JE 3*	*JE 6*	*JE 8*	*JE 9 (Final Step)*	*Total*
	£'000	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*
EQUITY								
Share capital	2,000	1,000	(1,000)					2,000
Share premium	970	-						970
Retained earnings	89,568	3,085	(2,760)				(711)	89,182
	92,538	4,085						92,152
Non-controlling interests	19,870	-	2,000	171	(42)	(3)		21,996
Total equity	112,408	4,085						114,148

Processing (4 marks)
Row totalling (1 mark)

Total: 5 marks

SECTION 3 – Gilmour Ltd

Question 9 - Increase in credit risk (9 marks)

a) Increase in credit risk

The loan has suffered a significant increase in credit risk during the period but is not considered to be credit impaired. It is therefore at Stage 2 of the expected credit loss model.

(1 mark)

Lifetime expected credit losses of £512,000 should be recognised and netted off against the carrying amount of the loan asset calculated using the amortised cost method.

(1 mark)

The increase in the loss allowance is an expense in profit or loss in the period.

(1 mark)

	£
Opening loss allowance	50,000
Lifetime ECL at 31 March 20X4	512,000
Increase in loss allowance	462,000

(1 mark)

b) Evaluation of sustainability disclosures

The sustainability disclosures relating to suppliers do not appear to be fully and fairly stated, as several statements are inconsistent with the underlying facts.

(1 mark)

The sustainability disclosures refer to working only with suppliers who have the same standard of human rights as Gilmour does, however one of the reasons for the loan is to allow the supplier to raise the age of its employees and the rates of pay for its employees. The accuracy of this statement is therefore questionable.

(1 mark)

Sustainability disclosures refer to short time financial support however the loan is for five years which would generally be described as a medium-term commitment. Gilmour therefore has a relationship with the supplier which extends beyond the short term.

(1 mark)

The disclosure states that there are no conditions attached to finance provided to suppliers, however Gilmour has exclusive access to the first 100,000 tonnes of wood extracted from the forest and therefore the statement is inconsistent with the loan terms agreed with the supplier.

(1 mark)

The sustainability disclosures state that there is no significant financial risk to Gilmour from providing the financial support to suppliers. This is not the case as the increase in credit risk has resulted in a loss allowance in the year.

(1 mark)

Total: 9 marks

Question 10 - GRI disclosures (5 marks)

a)

Gilmour has disclosed energy from renewable and non-renewable sources in gigajoules and has therefore gone some way to providing information in accordance with GRI 302-1.

(1 mark)

It has not disclosed details of fuel types used which is a requirement for both renewable and non-renewable sources.

(1 mark)

b)
To make the information more useful to stakeholders, Gilmour should:

- Include more than one year's energy consumption information in order that stakeholders can verify the claim that energy from non-renewable sources has decreased in the year.

  (1 mark)

- Provide information on the targets set out in the sustainability plan in order that stakeholders can assess the progress towards those targets.

  (1 mark)

- Provide information relating to the increase or decrease in the consumption of energy from renewable sources in order that stakeholders can understand the total energy consumption and changes in consumption from renewable sources.

  (1 mark)

Total: 5 marks

Question 11 - Ethics (5 marks)

The finance director has instructed you to include estimated figures in the sustainability disclosures without disclosing that they are estimates and is applying pressure on you to comply.

(1 mark)

There is a threat to the principle of integrity. The finance director is asking that estimated and unverified energy reduction figures remain in the sustainability report in order to show progress to the market. Including information that is known to be unreliable would be misleading to users of the report and therefore inconsistent with being honest and straightforward.

(1 mark)

There is also a threat to objectivity. The reminder that the reporting team member's performance bonus depends partly on timely completion of the report creates a self-interest threat. This may pressure the individual to accept incorrect disclosures rather than challenge them. Management pressure to avoid correcting the figures also creates an intimidation threat, further reducing objectivity.

(1 mark)

The principle of professional competence and due care may be breached because sustainability information should be properly verified before publication. Leaving unverified estimates in the report would not demonstrate appropriate diligence or adherence to reporting standards.

(1 mark)

There is also a risk to professional behaviour, as publishing misleading sustainability information could damage stakeholder confidence and bring the organisation and the profession into disrepute.

(1 mark)

Total: 5 marks

END OF SOLUTION